THE ESG MUTUAL FUND CATEGORY

According to SEBI, ESG funds should have a minimum of 80% of the total assets under management (AUM) invested in equity instruments of that particular strategy of the scheme, while the remaining portion cannot be in contrast to that strategy. The six strategies that ESG funds could follow are:

↘ **EXCLUSION:** Aims to exclude securities based on certain ESG-related activities, business practices, or business segments

↘ **INTEGRATION:** Aims to consider ESG-related factors that are material to the risk and return of the investment, alongside traditional financial factors, when making investment decisions.

↘ **BEST IN CLASS AND POSITIVE SCREENING:** Aims to invest in companies and issuers that perform better than peers on one or more performance metrics related to ESG matters.

↘ **IMPACT INVESTING:** Aims to generate a positive, measurable social or environmental impact alongside financial return and deals with how the fund manager intends to achieve the impact objective. Also evaluates if that impact is being measured and monitored.

↘ **SUSTAINABLE OBJECTIVES:** Aims to invest in sectors, industries or companies that are expected to benefit from long-term macro or structural ESG-related trends.

↘ **TRANSITION/ TRANSITION-RELATED INVESTMENTS:** Aims to invest in companies and issuers that support/facilitate environmental transition and just transition. The investment should generate a positive and measurable social and environmental transition.

on the strategy they adopt (See *The ESG Mutual Fund Category*). There are a handful of funds in this category for now, and many others are in the pipeline, with clarity in the structure of ESG funds that one could introduce.

Mutual funds with an ESG framework typically seek to invest in companies that score highly on environmental, social and governance criteria. That typically means they are working to reduce their environmental impact, treat employees and customers well, value corporate diversity and align their policies with the interest of shareholders. ESG matters because, as investors, one should also consider their role in society and not narrow their views to only profits from investing. We have come a long way

